

World in Brief: America and Iran to “stand down”; Putin acknowledges fuel shortages



Photograph: AFP via Getty Images

America and **Iran** have reportedly agreed to “stand down” after exchanging several strikes over the weekend. An American official told media outlets that both sides would continue “technical talks” on [implementing the ceasefire](#) agreed earlier this month. He added that vessels could now move freely through the Strait of Hormuz. Iran did not comment on the agreement.

Vladimir Putin acknowledged that **Russia** was facing fuel shortages after **Ukrainian** strikes on Russian refineries. But Mr Putin said the problem was “not critical” and that his forces would continue attacking Ukraine. Last week Volodymyr Zelensky, Ukraine’s president, ordered 40 days of [intense strikes](#) on Russia to press Mr Putin to end the war.

China added 20 **Japanese** entities to its export-control list, citing concerns over Japan’s “new-style militarism”. The additions include subsidiaries of Mitsubishi, a Japanese tech giant. Another 20 entities were added to a separate “watch list”. China’s commerce ministry insisted that the measures would not affect “normal trade” between the countries.

The Czech Republic, Germany, Hungary and Poland recorded all-time high temperatures as a **heatwave** continued to scorch large parts of **Europe**. The UN's World Health Organisation estimated that there had been more than 1,300 excess deaths in the continent linked to the heat. More than 191m people across Europe faced [temperatures of over 35°C \(95°F\)](#) on Sunday.

Shares in **Samsung Electronics** and **SK Hynix** fell amid expectations that the South Korean semiconductor firms would announce investments worth 2 quadrillion won (\$1.3trn) over the next ten years. According to local media, the money will go towards building new chipmaking plants and data centres. The two firms dominate the market for [high-bandwidth memory chips](#), which are crucial for artificial-intelligence models.

Manuel Adorni, the chief of staff to Javier Milei, Argentina's president, resigned. Mr Adorni is under investigation for graft, including lavish trips and the purchase of a flat at a suspiciously low price. He denies wrongdoing. Mr Milei has consistently backed his man. The scandal, which broke in March, has sapped the president's popularity, as has [the economy's poor performance](#).

Rescue efforts continued in **Venezuela** as the death toll from Wednesday's [earthquakes](#) rose to over 1,500. Tens of thousands of people are still believed to be missing. Around 3,300 are injured. Initial projections from the United Nations Development Programme suggest that the economic impact of the disaster may amount to roughly 6% of GDP. The two quakes are the country's largest—and possibly deadliest—in over a century.

After 72 group-stage matches, the **World Cup** entered its [knockout phase](#). Canada defeated South Africa with a late winner to become the first side to secure a place in the round of 16. They will face either the Netherlands or Morocco, who play each other on Monday. Brazil take on Japan while Germany play Paraguay in the day's other ties.

Figure of the day: 1 in 8, the share of first-year students entering with math skills below high-school level. [Read our report](#) on why students are doing worse than you think.

Israel and Lebanon's fragile truce



Photograph: Reuters

On Friday Israel and Lebanon signed a deal that, in theory, sets them on course for a lasting peace. But peace will be a long way off. Negotiated over two months in Washington, the accord commits the Lebanese government to [disarm Hizbullah](#), an Iranian-backed Shia militia. Israel will then gradually withdraw from the territory it occupies in south Lebanon—although not until Hizbullah is uprooted. Two “pilot zones” are meant to provide proof of concept.

Supporters of the agreement see it as a first step toward diminishing Iran’s influence in Lebanon and defanging a group that has long acted as a state within a state. Critics retort that it does not specify [a timeline](#) for an Israeli retreat: instead of ending the occupation, the deal may legitimise it. Many Lebanese fear it will spark a new civil war (which Hizbullah often threatens). The pact may also complicate America’s broader negotiations with Iran, which is demanding a full Israeli withdrawal. A final resolution, for now, remains distant.

India's industrial engine sputters on



Photograph: EPA

How hard did the closure of the Strait of Hormuz hit India's economy? Investors will get a sense of the [damage](#) on Monday when the Ministry of Statistics and Program Implementation publishes its latest index of industrial production for May. Economists forecast that the growth rate will have slowed to 4.2% compared to a year before, and down from 4.9% in April. The flash purchasing managers' index for June, published last week, also pointed to a loss of momentum in the Indian economy.

A more detailed account of India's economic health will shed light on which [parts of the economy](#) have been more resilient. Last month MOSPI overhauled the index to include more granular detail on each industrial sector's performance. Energy generation, for instance, is now split into renewable and non-renewable categories. April's sky-high reading is therefore incomparable with previous data, making historical comparisons harder to draw. Yet a revamped index will signal which industries are powering India's growth.

Andy Burnham's economic vision for Britain



Photograph: Alamy

Andy Burnham will set out his [economic plans](#) for Britain in a speech this week. The former mayor of Greater Manchester is almost certain to become the next prime minister after Sir Keir Starmer resigned on June 22nd. But to date, his [economic vision](#) has been painted in broad brush-strokes, with alarmingly little detail.

Mr Burnham is clearest on his desire to shift power outside London; his speech will probably include proposals to devolve more powers to local areas. His other priority is to bring essential services, like water and energy, under “stronger public control”. He wants to bring utility bills and [rail fares](#) down. But he has kept schtum about how he would fund this. He is also silent on some of the other big issues facing Britain, like AI.

For the British public, this speech is an opportunity to clear the air. The [challenge](#) for Mr Burnham will be to convince bond markets that his plans are affordable while offering voters something bold enough to feel like change.

Mercosur splits the EU spoils



Photograph: Reuters

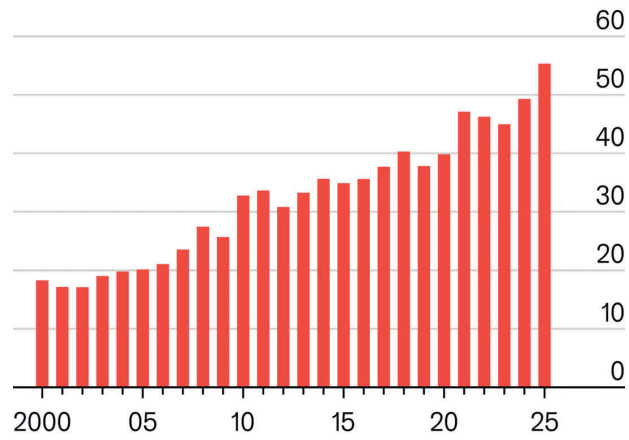
The leaders of Mercosur—a South American trade bloc comprising Argentina, Brazil, Paraguay and Uruguay—will gather in Asunción, Paraguay’s capital, on Monday. The summit takes place two months after the bloc’s [trade deal](#) with the European Union took provisional effect, concluding more than 25 years of negotiations.

But before members can reap the benefits of access to European markets, they must settle an awkward question: how to divide export quotas for prized products such as beef, poultry and sugar. Paraguay favours an equal split among founding members; [Brazil](#) argues allocations should match each country’s share of global trade.

As the host nation, the stakes could not be higher for Paraguay. Long one of South America’s poorest and most isolated economies, Paraguay has turned tariff-free access to Brazil and [Argentina](#) into a selling point for manufacturers. Companies are shifting production across the border, pushing exports to record levels. The economy grew by 6.6% last year and won an investment-grade credit rating.

Low taxes, high hopes

Paraguay, gross fixed capital formation,
m guaraníes, 2014 prices



Source: Haver Analytics

The Queen of the court returns



Photograph: AP

This year's Wimbledon Championships, which begin on Monday, needed a boost. Faced with competition from the football [World Cup](#), the absence of Carlos Alcaraz, who is recovering from a wrist injury, and each of the leading female players struggling for form, casual tennis fans needed a reason to tune in. The seven-time Wimbledon singles champion, Serena Williams, has provided it. Ms Williams has come out of retirement to play.

She returns as an underdog. It has been nearly four years since [her last singles match](#), when she lost to Ajla Tomljanovic at the 2022 US Open. Ms Williams' first-round opponent is 24 years her junior. Speculation about her reasons for returning adds a layer of intrigue to each appearance. She insists winning is not what motivates her. Pressed on her comeback by journalists ahead of the Queen's Club Championships earlier this month, Ms Williams' response was curt: "Why not?"

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Monday: Which businessman, currently chief executive of Square, was a co-founder of Twitter?

We have had good and bad Presidents, and it is a consoling reflection that the American Nation possesses such elements of prosperity that the bad Presidents cannot destroy it...

Henry Clay